

CFTC — answers to your six points (13 Aug reply)

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Sample: 1034 analysis weeks, 2006-10-24 → 2026-08-11 (raw TFF from 2006-06-13)

First, a data bug that changed every number in the 11 Aug package

The 2006-2016 CFTC bulk file dates as M/D/YYYY 12:00:00 AM while the yearly files are ISO. The parser tried ISO first and only fell back when every row failed, so in the combined history the bulk rows silently became unparseable and were dropped: the sample started 2017 instead of 2006-06-13, and the grids ran on 483 weeks instead of 1034. Fixed (`_parse_report_dates` now parses the leftovers), and every table below is on the full sample.

Point 2 — does RM explain anything? No.

Horizon	FM R ²	FM p	RM R ²	RM p	Δ adj R ² adding RM to FM	RM p (joint)
1w	0.00100	0.312	0.00028	0.590	-0.00089	0.767
2w	0.00147	0.219	0.00039	0.526	-0.00086	0.734
4w	0.00038	0.534	0.00087	0.344	-0.00032	0.414
8w	0.00009	0.759	0.00438	0.034	+0.00337	0.035

Neither percentile explains SPX forward returns. RM clears 5% only at 8 weeks ($p=0.034$) — one horizon out of four, which is what you expect from testing four. Adding RM on top of FM makes adjusted R² worse at 1, 2 and 4 weeks.

The same cut with and without the RM leg (12-week horizon)

Condition	Episodes	Mean	Median	Gap	Hit %	Excess mean	Excess hit %
FM_roll_pct<10	35	3.39	3.23	0.16	77.1	1.09	62.9
FM_roll_pct<10 AND RM_roll_pct>55	21	3.35	3.01	0.34	81.0	1.05	61.9
FM_roll_pct<5	21	2.27	3.33	-1.06	65.0	-0.04	55.0
FM_roll_pct<5 AND RM_roll_pct>55	6	5.78	5.67	0.11	80.0	3.47	80.0
PAR (unconditional)	—	2.31	3.50	-1.20	71.7	-0.00	59.5

Recommendation: drop RM from SQUEEZE. It halves the sample (35 episodes → 21) and leaves the mean and the excess essentially unchanged. You were right that FM is doing the work.

Point 3 — episodes that coincide with economic events

Event set: CPI, FOMC and NFP releases — CPI 306, FOMC 502, NFP 242 dated releases in the sample. An episode counts as event-coincident when a release lands on it or within the window before it. Floor of 3 episodes applied as you asked.

Coverage caveat: CPI and NFP cover the whole sample; FOMC dates only exist from 2011, because

FRED has no meeting-date calendar (the id we were using, release 19, is the weekly H.3 reserves report — that bug is fixed). Pre-2011 gating therefore rests on CPI and NFP.

Read the window column carefully. COT episodes are dated on the Tuesday position date, so a 1 or

3 day backward window only catches releases falling Sunday to Tuesday — which is why those two

rows are identical. The 7 day window is the one that actually spans a normal release week.

Cell	Window	Weeks (all)	Weeks (event)	Episodes	12w mean	Excess	Hit %
SQUEEZE FM<10 (no RM)	±1d	169	14	13	2.57	0.26	75.0
SQUEEZE FM<10 (no RM)	±3d	169	14	13	2.57	0.26	75.0
SQUEEZE FM<10 (no RM)	±7d	169	110	52	3.18	0.87	78.4
SQUEEZE FM<10 AND RM>55	±1d	82	9	8	0.88	-1.42	71.4
SQUEEZE FM<10 AND RM>55	±3d	82	9	8	0.88	-1.42	71.4
SQUEEZE FM<10 AND RM>55	±7d	82	48	24	2.78	0.48	78.3
SQUEEZE FM<5 (no RM)	±1d	76	8	7	4.17	1.87	83.3
SQUEEZE FM<5 (no RM)	±3d	76	8	7	4.17	1.87	83.3
SQUEEZE FM<5 (no RM)	±7d	76	50	28	3.75	1.44	81.5
LIQ EXIT FM>=80 (no RM)	±1d	214	10	10	0.73	-1.58	60.0
LIQ EXIT FM>=80 (no RM)	±3d	214	10	10	0.73	-1.58	60.0
LIQ EXIT FM>=80 (no RM)	±7d	214	179	50	2.08	-0.22	66.0
LIQ EXIT RM<30 AND FM>60 (old)	±1d	162	8	8	-3.00	-5.31	37.5
LIQ EXIT RM<30 AND FM>60 (old)	±3d	162	8	8	-3.00	-5.31	37.5
LIQ EXIT RM<30 AND FM>60 (old)	±7d	162	120	59	-0.17	-2.47	59.3

Two things stand out. Event-gating does not improve SQUEEZE — FM<10 ungated already carries the

edge and gating only costs sample. But the **old** LIQUIDITY EXIT cut (RM<30 and FM>60) is genuinely bearish around events: 8 episodes, 12-week mean −3.00%, excess −5.31%, hit 37.5%. The

FM $\geq$ 80-only placeholder you asked to ship is much weaker (excess -1.58%). So on the evidence, RM earns its place in LIQUIDITY EXIT even though it does not in SQUEEZE.

Point 4 — pre-2006 from 2003

Built. Legacy COT non-commercial S&P 500 net, 417 weekly prints, 2003-01-07 $\rightarrow$ 2010-12-28, cached beside the TFF files.

It is **not** a like-for-like FM series, and the overlap says so:

Measure	Value
Overlap	2006-06-13 $\rightarrow$ 2010-12-28 (238 weeks)
Level correlation	0.6414
Weekly-change correlation	0.5716
Percentile correlation	0.5396
Mean absolute percentile difference	23.1 points
Agreement on FM<10 weeks	22 of 47 (jaccard 0.47)
Means	legacy -2,961 vs TFF -43,191 contracts

Roughly half the extreme weeks disagree, and the two series sit at different levels entirely. Stitching it into the grids would move cells for reasons that have nothing to do with the market, so it ships as labelled context (`legacy_noncommercial`), available if you want to eyeball 2003-2006, and the recommendation below stays on the TFF sample.

On the GFC specifically: the earlier reports said the rolling grids excluded Sep 2008 – May 2009. That was wrong, and the wording has been corrected. Percentile cells run continuously from 2006-10-24, and the 2008 episodes are in the grids — they are the largest negatives in the LIQ EXIT cells. The genuine caveat is that 2008 ranks against a partial ~ 115 -week lookback rather than a full three years.

Points 1 and 5 — the cut, and what is shipped

SQUEEZE recommendation: FM < 10th percentile, no RM leg. 35 episodes, 12-week mean 3.39% vs 2.31% unconditional, excess $+1.09\%$, hit 77.1% . FM<5 alone is *worse* (21 episodes, mean 2.27% , excess -0.04%), so tightening past 10 does not buy sharpness, it only removes the middle of the distribution. FM<5 with RM>55 shows mean 5.78% on 6 episodes, which is too thin to act on.

Shipped as unvalidated display placeholders: squeeze `fm_pctile_max 10`; liquidity exit `fm_pctile_min 80`. Squeeze fires on FM<10 with no RM condition, liquidity exit on FM $\geq$ 80, both labelled unvalidated on the page and neither touching sizing. Historical fire counts on the full sample: squeeze 169 weeks / 35 episodes (was 181 / 37 under FM<20 and RM>45); liquidity exit 214 weeks / 36 episodes (was 162 / 40 under RM<30 and FM>60).

One thing to reconsider: the event-gated table above says the RM leg matters for LIQUIDITY EXIT even though it does not for SQUEEZE. Say the word and I will put RM<30 back on that flag only.

Point 6 — reminder

This is the reminder. The results above are the ones you asked me to bring back to you; the open decisions are the LIQUIDITY EXIT RM leg, and whether you want the legacy 2003 series shown anywhere given how loosely it tracks.